

Embedded vs. AI-Native 2x2

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Bolt-on intelligence vs. built-in intelligence

PROFESSIONAL DEFINITION

The Embedded vs. AI-Native matrix contrasts products that bolt AI onto an existing architecture with those designed around AI from the ground up, mapping the depth of intelligence against the legacy of the underlying system.

WHO DEVELOPED IT

A contemporary strategy framing arising from the 2020s debate over how incumbents should respond to generative AI, discussed widely by venture and product strategists.

WHY IT WAS DEVELOPED

It was developed to help leaders decide whether to retrofit AI into legacy products or rebuild, clarifying that the two paths change what decisions are even possible.

FIGURE 1 · EMBEDDED VS. AI-NATIVE 2x2

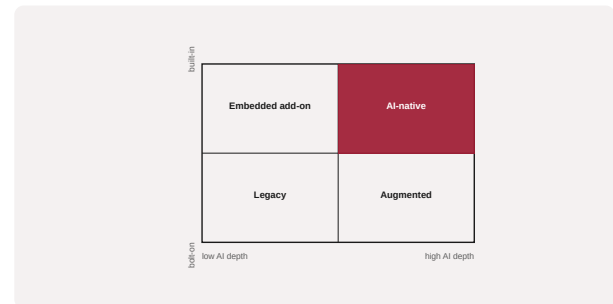


Figure 1. A schematic of the Embedded vs. AI-Native 2x2 as applied in BARBM312 (illustrative).

HOW IT IS USED

A product is placed on the grid by AI depth and architectural legacy; the position implies a different investment, talent and risk profile.

WHEN IT IS USED

When setting product architecture strategy and prioritising modernisation versus rebuild.

BY WHOM IT IS USED

Product and engineering leaders, CTOs and strategists.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It names a distinction obscured by generic 'AI adoption' talk: bolt-on intelligence lifts information quality, while AI-native design changes the product's possibility space.

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SOURCES (HARVARD REFERENCING STYLE)

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Furr, N. and Shipilov, A. (2019) 'Digital doesn't have to be disruptive', Harvard Business Review.